ANNUAL OPERATING BUDGET

Westgate Homes | Naperville, IL

Property	Westgate Homes
Fiscal Year	2019
Submitted By	Lumen Residential Services
Submitted	March 9, 2021

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$116,811	$112,702	$113,640	-$3,171	-2.7%	$1,276.86
5010 Loss to Lease	$133,660	$124,701	$128,075	-$5,585	-4.2%	$1,439.04
5020 Vacancy Loss	$243,649	$244,099	$251,444	$7,795	3.2%	$2,825.22
5030 Concessions	$71,966	$72,001	$74,855	$2,889	4.0%	$841.07
5040 Bad Debt	$34,016	$36,104	$38,383	$4,367	12.8%	$431.27
5050 Late Fees	$33,328	$32,166	$33,960	$633	1.9%	$381.58
5060 Utility Reimbursements	$220,581	$203,723	$215,087	-$5,494	-2.5%	$2,416.71
5070 Parking Income	$241,148	$241,579	$250,639	$9,491	3.9%	$2,816.17
5080 Application Fees	$139,874	$132,015	$139,234	-$640	-0.5%	$1,564.43
5090 Pet Rent	$89,584	$84,094	$89,704	$119	0.1%	$1,007.91
5100 Laundry Income	$98,751	$97,994	$100,107	$1,356	1.4%	$1,124.79
5110 Cable/Internet Revenue	$138,989	$138,966	$141,022	$2,033	1.5%	$1,584.52
5120 CAM Reimbursements	$226,255	$241,882	$253,753	$27,499	12.2%	$2,851.16
5130 Tax Reimbursements	$120,568	$113,772	$120,534	-$34	-0.0%	$1,354.32
5140 Insurance Reimbursements	$211,890	$201,257	$212,856	$966	0.5%	$2,391.64
5150 Percentage Rent	$212,738	$220,513	$229,191	$16,453	7.7%	$2,575.18
5160 Misc. Income	$156,433	$164,590	$170,942	$14,508	9.3%	$1,920.69
5170 Payroll - Management	$135,349	$125,166	$133,288	-$2,061	-1.5%	$1,497.62
5180 Payroll - Leasing	$166,131	$161,288	$161,997	-$4,134	-2.5%	$1,820.20
5190 Payroll - Maintenance	$178,677	$190,257	$193,560	$14,883	8.3%	$2,174.83
5200 Payroll Taxes & Benefits	$106,023	$109,136	$112,976	$6,953	6.6%	$1,269.40
5210 Repairs - Plumbing	$15,582	$14,637	$15,123	-$459	-2.9%	$169.92

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5410 Resident Events	$143,380	$146,478	$154,975	$11,596	8.1%	$1,741.30
5420 Office Supplies	$147,076	$150,464	$153,573	$6,496	4.4%	$1,725.54
5430 Legal & Professional	$201,405	$213,250	$215,016	$13,611	6.8%	$2,415.91
5440 Accounting & Audit	$56,397	$56,820	$58,807	$2,410	4.3%	$660.76
5450 Licenses & Permits	$155,854	$163,855	$170,436	$14,582	9.4%	$1,915.01
5460 Management Fee	$128,498	$134,719	$140,061	$11,563	9.0%	$1,573.72
5470 Property Insurance	$172,787	$171,608	$177,907	$5,120	3.0%	$1,998.95
5480 Real Estate Taxes	$194,367	$194,649	$206,944	$12,577	6.5%	$2,325.22
5490 Asset Management Fee	$206,500	$194,965	$207,103	$602	0.3%	$2,327.00
5500 Replacement Reserves	$19,501	$18,081	$18,916	-$585	-3.0%	$212.54
5510 Roof Repairs	$50,091	$51,194	$52,282	$2,192	4.4%	$587.44
5520 Parking Lot Repairs	$217,827	$201,029	$211,859	-$5,968	-2.7%	$2,380.44
5530 Signage	$245,912	$249,452	$266,236	$20,324	8.3%	$2,991.41
5540 Tenant Improvements	$126,879	$129,820	$130,928	$4,048	3.2%	$1,471.10
5550 Leasing Commissions	$89,249	$85,462	$86,983	-$2,266	-2.5%	$977.33
5000 Gross Potential Rent	$245,932	$231,154	$237,793	-$8,140	-3.3%	$2,671.83
5010 Loss to Lease	$156,097	$157,373	$160,608	$4,511	2.9%	$1,804.59
5020 Vacancy Loss	$119,486	$121,166	$127,268	$7,782	6.5%	$1,429.98
5030 Concessions	$53,398	$53,605	$55,938	$2,541	4.8%	$628.52
5040 Bad Debt	$35,986	$38,714	$39,233	$3,248	9.0%	$440.83
5050 Late Fees	$107,656	$100,274	$105,563	-$2,093	-1.9%	$1,186.11
5060 Utility Reimbursements	$160,845	$158,284	$167,320	$6,475	4.0%	$1,880.00
5070 Parking Income	$246,250	$265,812	$272,295	$26,045	10.6%	$3,059.49
5080 Application Fees	$248,964	$255,848	$263,279	$14,315	5.7%	$2,958.19
5090 Pet Rent	$149,779	$143,198	$145,524	-$4,256	-2.8%	$1,635.10
5100 Laundry Income	$80,508	$78,848	$84,113	$3,605	4.5%	$945.09
5110 Cable/Internet Revenue	$117,986	$122,444	$123,222	$5,236	4.4%	$1,384.52
5120 CAM Reimbursements	$226,036	$214,552	$220,835	-$5,202	-2.3%	$2,481.29
5130 Tax Reimbursements	$118,819	$116,914	$122,099	$3,280	2.8%	$1,371.90
5140 Insurance Reimbursements	$30,837	$30,308	$31,769	$931	3.0%	$356.95
5150 Percentage Rent	$125,114	$132,515	$137,515	$12,401	9.9%	$1,545.11
5160 Misc. Income	$248,160	$243,116	$249,844	$1,684	0.7%	$2,807.24
5170 Payroll - Management	$146,158	$156,254	$166,026	$19,869	13.6%	$1,865.47
5180 Payroll - Leasing	$229,759	$229,882	$244,096	$14,338	6.2%	$2,742.65
5190 Payroll - Maintenance	$206,072	$220,508	$232,432	$26,360	12.8%	$2,611.60
5200 Payroll Taxes & Benefits	$54,083	$56,812	$58,371	$4,288	7.9%	$655.86
5210 Repairs - Plumbing	$77,926	$82,959	$88,690	$10,765	13.8%	$996.52
5220 Repairs - HVAC	$160,311	$161,550	$170,486	$10,176	6.3%	$1,915.57
5230 Repairs - Electrical	$249,146	$253,113	$256,069	$6,923	2.8%	$2,877.18
5240 Repairs - Appliances	$246,040	$256,642	$260,296	$14,256	5.8%	$2,924.67
5250 Painting & Decorating	$176,659	$184,525	$189,603	$12,944	7.3%	$2,130.37

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Income and Expense Review

Turn costs average $392,000 per home, and the in-house maintenance team handles most work orders within 34 days. Homes average 1,928 square feet with average monthly rent of $2,138. Operating expenses totaled $240,000 or approximately 11.14 per square foot, with real estate taxes representing the largest line item. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Management fees are calculated at 5.5% of collected revenue and are included in operating expenses.

The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Operating expenses totaled $171,000 or approximately 23.73 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 6.97x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $174,000, representing a 3.0% increase over the prior year. Turn costs average $147,000 per home, and the in-house maintenance team handles most work orders within 34 days.

Property Operations

Service requests are tracked through a work-order system with an average completion time of 34 hours. Homes average 1,928 square feet with average monthly rent of $2,138. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Service requests are tracked through a work-order system with an average completion time of 10 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 24th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 17 additional team members. Homes average 1,928 square feet with average monthly rent of $2,138.

Financial Analysis

The going-in capitalization rate of 7.66% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $117,000, representing a 7.4% increase over the prior year. Turn costs average $458,000 per home, and the in-house maintenance team handles most work orders within 6 days. Operating expenses totaled $128,000 or approximately 19.07 per square foot, with real estate taxes representing the largest line item.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 6.44x on a trailing basis against a covenant minimum of 1.20x. Turn costs average $467,000 per home, and the in-house maintenance team handles most work orders within 5 days. The going-in capitalization rate of 7.33% reflects the in-place income and the stabilized occupancy assumption.

Management Commentary

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 37 additional team members. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 92.1% of billed charges, with bad debt of 4.1% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 2th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 95.1% of billed charges, with bad debt of 6.4% of gross potential income. Homes average 1,928 square feet with average monthly rent of $2,138. The manager completes a monthly walk of the property and submits a variance report to the owner by the 3th business day. Turn costs average $163,000 per home, and the in-house maintenance team handles most work orders within 28 days. Service requests are tracked through a work-order system with an average completion time of 45 hours.

Valuation Discussion

Management fees are calculated at 6.1% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 3.7% over the hold period. Effective gross income for the trailing period was $477,000, representing a 9.7% increase over the prior year. Turn costs average $466,000 per home, and the in-house maintenance team handles most work orders within 6 days.

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Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5240 Repairs - Appliances	$100,228	$99,719	$99,752	-$476	-0.5%	$1,120.81
5250 Painting & Decorating	$133,613	$138,409	$146,853	$13,240	9.9%	$1,650.03
5260 Flooring	$252,270	$269,255	$279,081	$26,811	10.6%	$3,135.75
5270 Make-Ready / Turnover	$71,397	$76,473	$81,793	$10,396	14.6%	$919.02
5280 Landscaping Contract	$131,569	$123,797	$129,499	-$2,070	-1.6%	$1,455.05
5290 Snow Removal	$255,062	$244,973	$255,130	$67	0.0%	$2,866.63
5300 Janitorial	$244,683	$244,505	$255,322	$10,639	4.3%	$2,868.79
5310 Pest Control	$231,118	$241,120	$245,094	$13,976	6.0%	$2,753.86
5320 Trash Removal	$119,424	$127,939	$131,405	$11,980	10.0%	$1,476.46
5330 Elevator Contract	$82,898	$87,004	$88,387	$5,489	6.6%	$993.11
5340 Fire & Life Safety	$122,464	$115,988	$121,554	-$910	-0.7%	$1,365.78
5350 Security	$127,761	$131,370	$131,797	$4,036	3.2%	$1,480.87
5360 Electricity - Common	$160,973	$160,435	$164,917	$3,944	2.5%	$1,853.00
5370 Gas - Common	$57,958	$56,440	$57,284	-$675	-1.2%	$643.64
5380 Water & Sewer	$95,219	$97,780	$104,447	$9,228	9.7%	$1,173.56
5390 Telephone/Internet	$229,970	$223,735	$239,198	$9,228	4.0%	$2,687.62
5400 Advertising	$237,106	$232,989	$235,222	-$1,884	-0.8%	$2,642.95
5410 Resident Events	$87,494	$89,563	$93,195	$5,702	6.5%	$1,047.14
5420 Office Supplies	$224,009	$223,075	$234,372	$10,363	4.6%	$2,633.39
5430 Legal & Professional	$95,666	$91,368	$93,025	-$2,641	-2.8%	$1,045.23
5440 Accounting & Audit	$58,254	$57,073	$59,273	$1,020	1.8%	$665.99
5450 Licenses & Permits	$107,198	$107,703	$109,121	$1,923	1.8%	$1,226.08
5460 Management Fee	$155,667	$148,739	$156,556	$889	0.6%	$1,759.05
5470 Property Insurance	$33,188	$30,879	$31,606	-$1,581	-4.8%	$355.13
5480 Real Estate Taxes	$231,600	$242,594	$255,191	$23,591	10.2%	$2,867.31
5490 Asset Management Fee	$117,959	$115,217	$122,460	$4,501	3.8%	$1,375.96
5500 Replacement Reserves	$254,183	$239,075	$243,716	-$10,467	-4.1%	$2,738.38
5510 Roof Repairs	$136,577	$138,341	$143,781	$7,204	5.3%	$1,615.52
5520 Parking Lot Repairs	$91,988	$90,097	$96,369	$4,380	4.8%	$1,082.80
5530 Signage	$179,379	$190,159	$194,045	$14,666	8.2%	$2,180.28
5540 Tenant Improvements	$21,321	$20,805	$22,062	$742	3.5%	$247.89
5550 Leasing Commissions	$56,140	$57,102	$60,432	$4,292	7.6%	$679.02
5000 Gross Potential Rent	$117,841	$123,237	$124,528	$6,687	5.7%	$1,399.19
5010 Loss to Lease	$27,410	$25,360	$25,650	-$1,760	-6.4%	$288.20
5020 Vacancy Loss	$60,725	$61,382	$62,820	$2,095	3.4%	$705.84
5030 Concessions	$33,527	$33,300	$33,380	-$147	-0.4%	$375.06
5040 Bad Debt	$238,146	$249,398	$258,528	$20,382	8.6%	$2,904.81
5050 Late Fees	$143,839	$136,824	$144,225	$386	0.3%	$1,620.51
5060 Utility Reimbursements	$248,603	$261,981	$270,188	$21,584	8.7%	$3,035.82
5070 Parking Income	$92,407	$88,735	$91,728	-$679	-0.7%	$1,030.65

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Financial Analysis

The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Net operating income is projected to grow at a compound annual rate of 6.1% over the hold period. Effective gross income for the trailing period was $260,000, representing a 5.3% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $317,000 or approximately 32.99 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 6.27x on a trailing basis against a covenant minimum of 1.20x. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Turn costs average $308,000 per home, and the in-house maintenance team handles most work orders within 34 days. Management fees are calculated at 3.4% of collected revenue and are included in operating expenses.

Management Commentary

Turn costs average $411,000 per home, and the in-house maintenance team handles most work orders within 42 days. Collections for the period were 95.1% of billed charges, with bad debt of 6.2% of gross potential income. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Homes average 1,928 square feet with average monthly rent of $2,138.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 46th business day. Turn costs average $132,000 per home, and the in-house maintenance team handles most work orders within 30 days. Service requests are tracked through a work-order system with an average completion time of 9 hours. Homes average 1,928 square feet with average monthly rent of $2,138. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Financial Analysis

Operating expenses totaled $48,000 or approximately 15.01 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 6.70% reflects the in-place income and the stabilized occupancy assumption. Turn costs average $430,000 per home, and the in-house maintenance team handles most work orders within 38 days. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Debt service coverage ratio was 5.19x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 6.1% over the hold period. Effective gross income for the trailing period was $50,000, representing a 8.9% increase over the prior year. Operating expenses totaled $77,000 or approximately 20.42 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 3.7% of collected revenue and are included in operating expenses.

Property Operations

The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 44 additional team members. Service requests are tracked through a work-order system with an average completion time of 45 hours. Collections for the period were 94.6% of billed charges, with bad debt of 3.0% of gross potential income.

Collections for the period were 95.3% of billed charges, with bad debt of 3.3% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 26th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Turn costs average $466,000 per home, and the in-house maintenance team handles most work orders within 10 days. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

Operating Performance

The going-in capitalization rate of 8.12% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Homes average 1,928 square feet with average monthly rent of $2,138. Net operating income is projected to grow at a compound annual rate of 6.3% over the hold period. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

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